Craig Horton Advisory

The Transformation Brief

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The Transformation Brief

Good morning. On Wednesday Gartner reported that most chief supply chain officers cannot see the return on their AI spending, while two thirds of their digital investment now goes to AI. KPMG, surveying 1,750 transformation leaders, found half of them describing their AI productivity gains as incremental.

Two firms, two methods, and the same answer. The money is going in and the return is sitting somewhere nobody funded.

The lead signal

The ROI is stuck in the seventy percent

Gartner surveyed 394 supply chain professionals at organisations turning over at least $250m, then 135 senior leaders. **55% are unclear on the return from their AI investments**, while **67% of supply chain digital investment is now allocated to AI**.

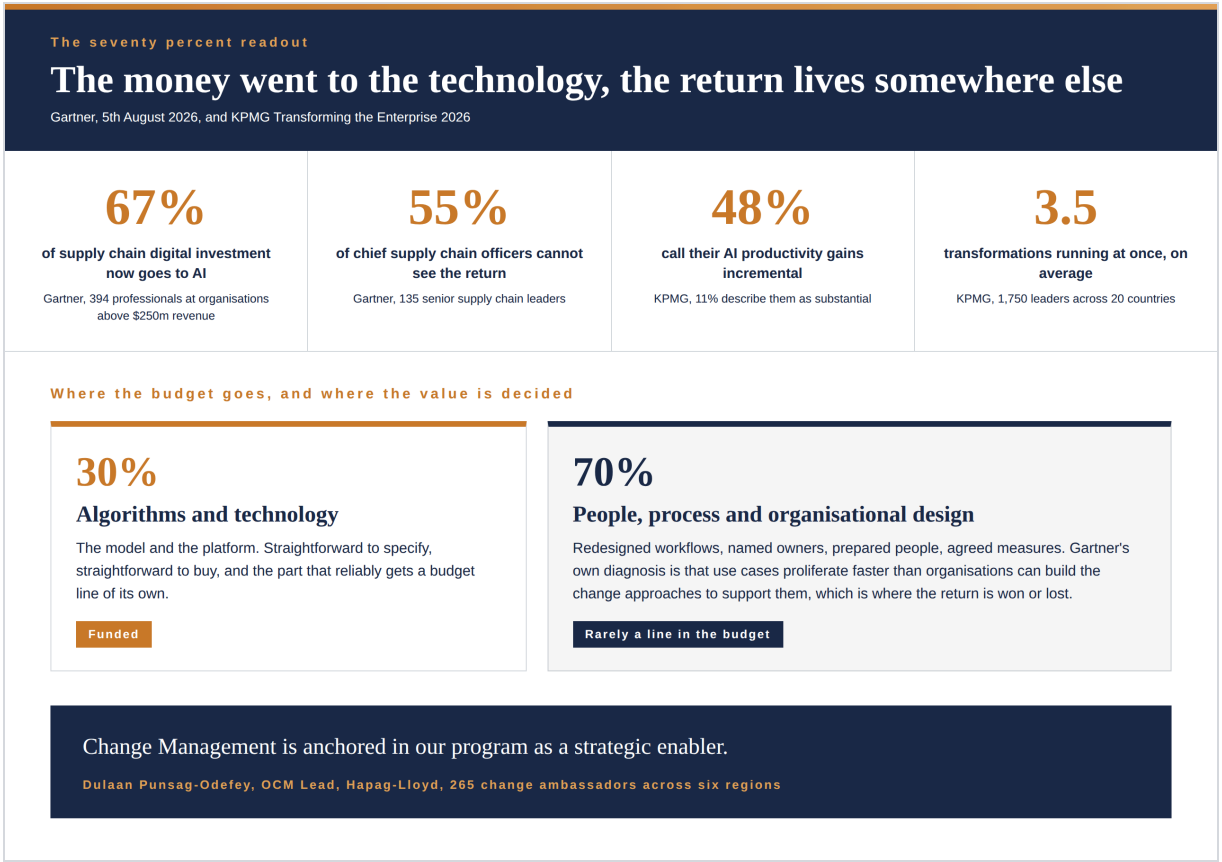
Gartner, 5th August 2026

The interesting part is the cause Gartner names. AI use cases proliferate faster than organisations can build the change approaches to support them. What limits the return is absorption, and absorption is a change problem before it is a technology one.

KPMG reaches the same place from a different direction. Organisations are running an average of **3.5 transformations at once**, and **48% call their AI productivity gains incremental**, with only 11% describing them as substantial. KPMG's own reading is that enterprises are scaling AI faster than they are redesigning themselves to support it, so the gains stay local and never become enterprise results.

KPMG, Transforming the Enterprise 2026, 1,750 leaders across 20 countries

This is the 10-20-70 rule with a survey attached. Ten percent algorithms, twenty percent technology, seventy percent people, process and organisational design. The industry keeps funding the thirty and then asking why the seventy has not delivered.



The seventy percent readout. Two thirds of the digital budget goes to AI, and the part that decides the return rarely gets a line of its own.

A CSCO who cannot see the ROI is usually looking at a model that works perfectly well, dropped into a workflow nobody redesigned, staffed by people nobody prepared, and measured against a number nobody agreed.

Hapag-Lloyd is worth looking at for the contrast. Their Fast Forward finance transformation covers 4,000 SAP users across more than 140 countries, and they have put **265 key users into the field as change ambassadors across six regions**, translating global standards into local language and practice.

> Change Management is anchored in our program as a strategic enabler.
>
> **Dulaan Punsag-Odefey, OCM Lead, Hapag-Lloyd**

Anchored is doing a lot of work in that sentence, and it marks the distance between a programme that budgets for adoption and one that hopes for it.

SAP's own conclusion from its customer reporting is blunter still. Technology adoption alone creates no business value, and plugging AI agents into your existing systems will drive zero value on its own.

SAP News Center, customer reporting on AI adoption, July 2026



This month we are measuring the Strategic Alignment driver of the Blueprint. Your answer joins the Blueprint Index, which we publish in the next issue.

Can your board or executive team articulate your organisation's AI strategy in one sentence that would survive a 30-second explanation to a new hire?

Answer in 15 seconds, anonymous, no email: brief.craighortonadvisory.com/pulse

From my office

Change enablement is one of the four things the AI Business Value Framework scores, alongside strategic alignment, financial return and governance risk. It is there because a strong financial case sitting on weak change enablement comes back as a Fix, with the plays attached that would make it real.

When the engine returns a Fix on change enablement, the plays are always the same shape. Write the case for change. Name the sponsor coalition. Listen to the people whose work is about to change. Connect the initiative to one board-level measure. Cut the scope that does not pay.

None of that is exotic, and almost none of it is budgeted. Gartner has now put a number on what happens when it is skipped, and the number is 55% of supply chain leaders who cannot tell you what they got.

On the radar

1 Gartner's own prescription is a change strategy, not a tech one

Their advice to CSCOs is a rightsized change management strategy that explicitly links change execution to AI strategy, supply chain strategy and enterprise priorities, so that change resource goes to outcomes rather than to individual activities.

Read that as a warning about change theatre, because activity is easy to fund and easy to report, while outcomes need somebody to own them.

Gartner, 5th August 2026

2 Three and a half transformations at once

KPMG's finding that organisations run an average of 3.5 concurrent transformations deserves more attention than it gets. Every one of them competes for the same sponsors, the same change capacity and the same exhausted middle managers.

Pace layer drag shows up exactly here, when four programmes need the same twelve people and the slowest layer sets the speed.

KPMG, Transforming the Enterprise 2026

3 Capability is starting to decide retention

Gartner predicts that by 2027 half of enterprises without a people-centric AI strategy will lose their top AI talent to rivals.

That is the same seventy percent surfacing as a different symptom, and leaders who file it under HR will watch their best people leave for the organisations that treated it as strategy.

Gartner, 13th May 2026

The question I would take into the room

Look at your largest AI programme and find the change enablement line in its budget. If there is no line, you have bought a licence and a hope.

Once again, I appreciate your interest and time to read this brief, and as always, look forward to your feedback and comments. Enjoy your weekend, Craig